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No. 97-1642

In The

Supreme Court of the United States

October Term, 1997

THE UNITED STATES DEPARTMENT OF THE ARMY,

Petitioner,

vs.

BLUE FOX, INC.,

Respondent.

On Petition for Writ of Certiorari to the United States Court of Appeals for the Ninth Circuit

RESPONDENT'S BRIEF IN OPPOSITION

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QUESTION PRESENTED

Should this Court expend its limited resources to resolve an issue of first impression that arises only when the United States government fails to comply with the requirements of the Miller Act, namely: Is a subcontractor's suit to enforce an equitable lien against the United States a suit for "money damages" within the meaning of the Administrative Procedure Act, 5 U.S.C. § 702, and this Court's decision in *Bowen v. Massachusetts*, 487 U.S. 879 (1988).

STATEMENT PURSUANT TO RULE 29.6

Respondent Blue Fox, Inc. has no parent companies and no nonwholly owned subsidiaries.

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APPENDIX

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STATEMENT OF THE CASE

In September, 1993, pursuant to Section 8(a) of the Small Business Act, 15 U.S.C. § 637(a), the United States Department of the Army awarded a contract to the United States Small Business Administration. Pet. App. 2a. The contract involved the installation and testing of a telephone switching system and the construction of a facility to house the switching system at the Umatilla Army Depot, Oregon. *Id.* SBA agreed to furnish the supplies and services requested by the Army by subcontracting with Verdan Technology, Inc. *Id.*

Verdan subcontracted the construction portion of its contract to respondent Blue Fox. Pet. App. 4a. The total cost of the work to be performed by Blue Fox was $186,347.80. *Id.* Blue Fox did not know until it had completed its performance under the contract that Verdan had not furnished a payment bond. *Id.* Verdan failed to pay blue Fox its full contract price — the sum of $46,586.14 remained due. *Id.* Blue Fox informed the Army and SBA in writing on May 26, 1994, and again on June 15, 1994, that it had not been fully paid. *Id.* Nevertheless, the Army subsequently disbursed a total of $86,132.33 to Verdan between July and October, 1994. *Id.*

On January 3, 1995, the Army terminated Verdan's contract for default. Pet. App. 5a. In its notice of intention to terminate the contract, the Army indicated that one of its "most severe items of concern" was Verdan's failure to pay Blue Fox. *Id.* After the termination of the Verdan contract, the Army chose Dynamic Concepts, Inc. to finish the uncompleted portion of the work, under an existing contract between the Army and Dynamic. The modification contract with Dynamic was for $126,772.78 and was partially funded with the undisbursed balance on the Verdan contract, $84,910.52. *Id.* The Army did not authorize payment to Dynamic for its work in completing the project until July 27, 1995,

two months after Blue Fox filed suit in district court, asking *inter alia*, that the court enjoin the Army and SBA from paying any further monies or making any payments from funds available or appropriated for a follow-on contract for completion of the Umatilla Army Depot Electronic Switching System project, until Blue Fox's unpaid bill is satisfied. *Id.*

The original solicitation issued by the Army required the contractor to furnish payment and performance bonds if the contract exceeded $25,000. Pet. App. 3a. However, the Army later amended the solicitation, deleting the bond requirements. *Id.* Nevertheless, the Army conceded below that the Verdan contract was subject to the Miller Act, 40 U.S.C. §§ 270a-270d. *Id.*

When Blue Fox asked, in an Interrogatory, to explain why no Miller Act bond was in place for its protection, the Army answered as follows:

> **ANSWER:** The reason is not clear from the record. It may have been because the contract was classified under Standard Industrial Classification (SIC) Code 4813, telephone communications, and that government personnel did not require the payment bond because the primary SIC code was determined to be 4813, a non-construction SIC code. It may also have been because the government believed it could waive the Miller Act requirements.

Excerpts of Record at 29-30, *Blue Fox, Inc. v. SBA*, 121 F.3d 1357 (No. 96-35648).

However, the government conceded, and the Ninth Circuit agreed, that the Miller Act bond requirement could not be waived under the circumstances of this case. Pet. App. 3a. In addition, the Ninth Circuit emphasized "SBA's conscious avoidance of the Miller

Act requirements" in the form of notes of telephone conversations within the SBA," and "between officers of the SBA and the Army. . . ." Pet. App. 13a, n.6. As the result of these conversations, Army officials deleted the performance and payment bonding requirement for Verdan.

REASONS FOR DENYING THE WRIT

The Solicitor General asks this Court to review a decision of the court of appeals that resolves an issue of first impression in the federal courts. He cites no other case — not one — that even discusses the question whether the United States is immune from a subcontractor's suit to enforce an equitable lien under the Administrative Procedure Act, 5 U.S.C. § 702, and this Court's decision in *Bowen v. Massachusetts*, 487 U.S. 879 (1988). Since there are no other cases that decide (much less address) this issue, there necessarily is no conflict in the lower courts that might justify this Court's intervention. The best that the government can do is to point to two decisions of other circuits that, the government says, have given somewhat different interpretations to *Bowen* in the ten years since *Bowen* was decided. But this Court ordinarily does not grant review to resolve abstract differences in how the courts of appeal have interpreted one of this Court's cases, in the absence of a true conflict. Here, that hesitation makes especially good sense — the alleged conflict in approach is illusory; it has arisen only rarely in the past decade; and the government has waived, in the courts below, the alternative interpretations of *Bowen* it now advances to this Court. Under these circumstances, the question whether the court of appeals properly applied *Bowen* to this novel situation plainly does not merit this Court's attention. See S. Ct. Rule 10 ("A petition for certiorari is rarely granted when the asserted error consists of . . . the misapplication of a properly stated rule of law.")

Perhaps recognizing this problem, the government labors (as did the dissent in the court of appeals) to portray the consequences

of the court of appeals' holding as dire and far-reaching. That too is mistaken. As the government acknowledges (Pet. App. 4a-5a), Congress passed the Miller Act, 40 U.S.C. §§ 270a-270d, in order to give subcontractors such as respondent Blue Fox the right to proceed in the government's shoes in a suit on the bond against a defaulting primary contractor. Had the government complied with the requirements of the Miller Act, this lawsuit would never have been brought (and the immunity issue would never have been raised). Thus, it is fair to say that the novel issue presented in this case arises only when the United States fails to comply with federal law. For that reason, the government has the power — merely by complying with federal law — to make this issue go away and to reduce to zero or almost zero the fiscal impact of the Ninth Circuit's decision. There is simply no good reason for this Court to expend its limited resources on resolving an issue that the Executive Branch can moot merely by complying the its legal obligations under the Miller Act.

I.

THE PETITION FAILS TO DEMONSTRATE A CONFLICT AMONG THE CIRCUITS.

A. There Is No Conflict Concerning the Government's Duty To Hold Funds for the Benefit of an Unpaid Subcontractor.

The principal issue posed by the decision below concerns the extent to which this Court's decisions in *Prairie State Bank v. United States*, 164 U.S. 227 (1896)[1]; *Henningsen v. United States*

1. In *Prairie State Bank v. United States*, 164 U.S. 227 (1896), this Court held that a surety, who completed a project following the contractor's default, had a right to monies retained by the government superior to that of a bank which lent money to the defaulted contractor. The Court based its decision on the doctrine that a surety who completes a contract has an "equitable right" to indemnification out of a retained fund. 164 U.S. at 231.

Fidelity & Guaranty Company, 208 U.S. 404 (1908)[2] and *Pearlman v. Reliance Insurance Co.*, 371 U.S. 132 (1962)[3], give rise to a duty by the government to hold funds in its possession for the benefit of an unpaid subcontractor. The Petition devotes little or no discussion to this body of Supreme Court law which, in upholding equitable subrogation rights of sureties, has explicitly recognized that rights are held by the subcontractors themselves. *See Pearlman*, 371 U.S. at 141 ("We therefore hold in accord with the established legal principles stated above . . . that the laborers and materialmen had a right to be paid out of the fund; . . ."); *see also Henningsen*, 208 U.S. at 410 (recognizing the government's "equitable obligations to see that the laborers and supplymen were paid.")

Following in *Pearlman*'s steps, several courts have permitted the subcontractor to directly sue the government where immunity

2. In *Henningsen v. United States Fidelity & Guaranty Company*, 208 U.S. 404 (1908), this Court extended the *Prairie State Bank* holding to provide that a surety who satisfied the claims of unpaid laborers and materialmen had an equitable right to retained monies. In holding that the surety's equity was superior to that of a competing lender, the Court specifically noted that the government had "equitable obligations to see that the laborers and supplymen were paid." 208 U.S. at 410.

3. In *Pearlman v. Reliance Insurance Co.*, 371 U.S. 132 (1962), this Court limited its holding in *United States v. Munsey Trust Co.*, 332 U.S. 234 (1947) to its facts. (In *Munsey*, the Court refused to protect a surety's subrogation claim to retained monies held by the government, against the government's own claim to offset money it was owed.) In an opinion by Mr. Justice Black, the *Pearlman* Court held that the right to a government-retained fund by a surety who paid laborers and materialmen was superior to the claim of the trustee in bankruptcy of the defaulted contractor. The *Pearlman* Court expressly rejected an argument that, in passing the Miller Act, Congress changed the law as declared in the *Prairie State Bank* and *Henningsen* cases. 371 U.S. at 139-140. *The Pearlman* Court also expressly rejected an argument that *Prairie State Bank* and *Henningsen* had been overruled by *Munsey*, 371 U.S. at 141.

is waived. *See Active Fire Sprinkler Corp. v. United States Postal Serv.*, 811 F.2d 747, 754 (2d Cir. 1987) ("Any equitable rights held by subcontractors as against USPS [United States Postal Service], which may have been unenforceable where sovereign immunity existed, became enforceable upon immunity being waived."); *Kennedy Electric Co., Inc. v. United States Postal Service*, 508 F.2d 954 (10th Cir 1974); *Wright v. United States Postal Service*, 29 F.3d 1426 (9th Cir. 1994). This Court's decision in *Pearlman* has also formed the basis, in private contracting, for subrogation rights of unpaid subcontractors against retained funds held by the owner.[4]

In the decision below, for the first time, a court was called upon to consider whether such a suit could proceed using Section 702's waiver of immunity. In a limited holding, the Ninth Circuit held that, where the government pays funds to the primary contractor, after receiving protests from an unpaid subcontractor, Section 702 of the APA waives immunity for the subcontractor's claim to those specific funds. The decision below only applies where: (1) funds are still held by the government; and (2) the

4. Professor Dobbs describes these cases as follows:

> When the landowner has retained funds owing the general contractor for work completed, the subcontractor may sue the landowner demanding payment from the funds held by the landowner. He may legitimately claim against the funds on a theory of subrogation or simply by way of garnishment. The subcontractor's work in such a case has helped to create the landowner's debt to the general contractor, so the subcontractor may "stand in the shoes" of the general contractor to the extent he has not been paid [citing *Pearlman* and other cases].

3 D. Dobbs, *Law of Remedies* 470 (2d ed. 1993); *see also In re Modular Structures, Inc.*, 27 F.3d 72 (3rd Cir. 1994) (*Pearlman* doctrine not limited only to public contracts). See also pp. 19-22, *infra*, (discussing the government's concession that Blue Fox would have had an equitable lien if a private party, rather than a governmental agency, had contracted with Verdan)

government wrongfully pays out those funds over the unpaid subcontractor's protests.[5] If either element is missing, an equitable lien cannot be imposed.[6]

Because of the limited nature of the court of appeals' holding, the case below is not a strong candidate for review. There is no conflict in the case law on this subject. No circuit has expressly rejected the argument that, where immunity has been waived,

5. In this case, the Army continued to pay the defaulting primary contractor, Verdan, a total of $86,132.33, over a five month period after receiving written notice from Blue Fox that it was unpaid. Pet. App. 4a.

6. The Ninth Circuit's decision thus falls squarely within the rule as described by Professor Dobbs:

> The subcontractor's claim in such cases is limited. In the first place, it is not a claim against the landowner's general assets but only against the retained funds [citation omitted]; it cannot exceed the amount owed to the subcontractor, and it cannot exceed the amount of the funds held by the landowner. The landowner in such cases is not subjected to liability for more than he agreed to pay; his liability is merely redirected by the court. . . .

3 D. Dobbs, *Law of Remedies* 471 (2d ed. 1993).

Petitioner overlooks this point, characterizing the decision below as holding: "that the APA waives the Government's sovereign immunity for a subcontractor's claim for monies that a federal contractor should have paid, but did not pay. . . ." Petition at 11. See also Pet. App. 14a (Rymer J., dissenting) ("Never before has a court held that a subcontractor may sue an agency of the United States, which has not agreed to be sued, for contract monies that the prime contractor should have paid the prime contractor, but didn't.")

Both of these descriptions, which mistakenly describe the government's liability as consistent with that of an insurer for debts to unpaid subcontractors, overlook the fact that the subcontractor's claim is limited to the amount, if any, held by the owner after notice that the subcontractor is unpaid.

Pearlman obligates the government to hold remaining funds for the benefit of an unpaid subcontractor. Nor has any other court considered whether Section 702 waives immunity for the subcontractor's claim to specific funds.[7] Petitioner has failed to cite any case which holds that Section 702 does *not* waive immunity over such a suit. Indeed, in a closely analogous case, the Second Circuit has held that Section 702 *does* waive immunity over a surety's equitable claim to funds held by the government. *Aetna Casualty & Surety Co. v. United States*, 71 F.3d 475 (2nd Cir. 1995).[8] At this stage, it is premature to examine this issue. Respondent respectfully suggests that this Court wait to see if such a conflict ever develops.[9]

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7. Neither *Arvanis v. Noslo Engineering Consultants, Inc.*, 739 F.2d 1287 (7th Cir. 1984), *cert. denied*, 469 U.S. 1191 (1985), nor *Automatic Sprinkler Corp. of America v. Darla Envtl. Specialists*, 53 F.3d 181 (7th Cir. 1995) considered an argument that, under *Pearlman*, the Government had a duty to hold funds for the benefit of an unpaid subcontractor. Moreover, neither case consider the question of whether Section 702 waived sovereign immunity for the subcontractor's claim.

8. *Aetna* involved a surety's suit for equitable subrogation. The District Court had denied Aetna's motion to amend its suit, originally brought under the Federal Tort Claims Act to plead an additional claim, under Section 702 of the APA, alleging that Aetna was aggrieved by the government's failure to pay over funds which it acquired by right of subrogation. 71 F.3d at 478. The District Court refused amendment for two reasons. First, it reasoned that the APA claim was contractual in nature, and not within the jurisdiction of the district courts. The court of appeals disagreed, stating that, under *Pearlman*, the right of subrogation was an obligation arising through operation of law, and not a claim founded on contract. 71 F.3d at 478. The District Court also denied Aetna's motion to amend because the claim sought money damages for which the APA did not provide immunity. The Second Circuit rejected this basis as well, holding that Aetna's claim for equitable subrogation was not a claim for "money damages" under the APA, but instead a claim "to compel the government to do its duty by paying over the funds owed to Aetna" which could proceed under Section 702. 71 F.3d at 478.

9. As of May, 1998, the Ninth Circuit's August 1997 opinion remains uncited by any court. *Shepards Federal Citations*, vol. 88 no. 9, May 1, 1998.

B. There Is No Conflict Whether § 702's Waiver Is Limited To Statutory Rights.

The other principal issue concerns whether, under this Court's decision in *Bowen v. Massachusetts*, 487 U.S. 879 (1988), Section 702 waives immunity only for legal duties imposed by statute, but not for duties to pay money which arise independent of statute. As to this issue, Petitioner suggests that the decision below conflicts with *Hubbard v. Administrator, EPA*, 982 F.2d 531 (D.C. Cir. 1992) (en banc) and *Dia Navigational Co. v. Pomeroy*, 34 F.3d 1255 (3rd Cir. 1994). Neither case, however, concerns whether an unpaid subcontractor's claim for an equitable lien constitutes "money damages" under the APA.

1. The Government Conceded at Oral Argument That Bowen Is Not Limited To Statutory Rights

Even if Petitioner is correct that *Bowen* is limited to claims arising under statute, the government's attorney told the Ninth Circuit just the opposite during oral argument.[10] It follows that the

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10. The pertinent oral argument included the following:

Government Counsel:

> Now, on its face, the APA would seem to say you cannot get that kind of relief under the APA, but there are exceptions as recognized in *Bowen*, *Cal Almond* and those cases. If the person asserting the lien or the claim to the money can show an independent basis for the right to that money, a statute, a contract[,] by operation of law as a surety, then it's not money damages.
>
> * * *

(Cont'd)

(Cont'd)

Government Counsel:

> But they also have to prove though that they have a right to that money. And in the *Bowen* case the State of Massachusetts proved it had a right to the — to money because of a statutory right. In the *Pearlman* case, for example, the plaintiff there, the surety, proved that it had a right to the money by operation of law through the concept of subrogation. The plaintiff in this case, Blue Fox, cannot point to any independent substantive right that allows — that allows them to be paid by the government. I think that's — That's our position.

The Court:

> All right. The Massachusetts case [*Bowen*] was a statutory right case.

Government Counsel:

> It was.

The Court:

> There was not one single word in that opinion that says that the — the — the rulings in this are — are limited to statutory rights.

Government Counsel:

> That's true. And I would concede that rights could occur through a contract, which we don't have in this case, or through operation of law as we have in the suretyship cases.

Transcript of Oral Argument by Government Counsel (lodged with the Supreme Court Clerk) [hereinafter *Transcript*], at 12-14.

See also:

Government Counsel:

> Correct. But the subcontractor in this case, the plaintiff, has to

(Cont'd)

Ninth Circuit can scarcely be accused of committing reversible error in holding that "there is no requirement in *Bowen* or the APA" that the right to the money "be statutorily granted." Pet. App. 8a. See Petition at 16-17. The court merely applied the law as the government represented it to be.[11] Thus, the government has not only waived its principal basis for asserting a conflict among the circuits, but it has also waived the basis for its argument that the decision below permits an unauthorized expansion of the federal fisc.[12]

(Cont'd)

> show some entitlement by way of statute, contract or by operation of law. They have to show that they have a right to payment of money from the government.

Transcript, supra at 2.

11. The government's characterization of the law on this point has not remained consistent. In its brief to the Ninth Circuit, the government stated that "Under the *Bowen* analysis, a claimant may avail itself of § 702 when it seeks funds to which it is entitled by statute, as opposed to funds which cover the losses it suffered because the agency failed to do what it was required to so [sic]." Appellees' Opening Brief at 14, *Blue Fox, Inc. v. SBA*, 121 F.3d 1357 (No. 96-35648). During argument, however, the government attorney conceded that the *Bowen* rule was not limited to statutory claims, and acknowledged that the APA's waiver of immunity could also extend to claims "arising under operation of law as a surety." *Transcript, supra* note 10, at 14.

In its Petition to this Court, the Government now states that *Bowen* is limited *only to* claims involving statutory rights and, *for the first time*, argues that a failure to so limit *Bowen* would violate the Appropriations Clause of the Constitution. Petition at 28.

12. Petitioner states:

> Simply put, before the courts may order the payment of funds

(Cont'd)

2. The Ninth Circuit's Decision Does Not Conflict With the D.C. Circuit's Decision in Hubbard

Petitioner argues that this Court should grant certiorari to examine a conflict in analysis between the Ninth Circuit's decision below, and that employed by the D.C. Circuit in *Hubbard v. Administrator, EPA*, 982 F.2d 531 (D.C. Cir. 1992) (en banc).[13]

In *Hubbard*, the plaintiff never performed any work. His claim was for "loss of income attributable to Hubbard's being denied the

(Cont'd)

> from the Treasury as specific relief under the APA, they must — as in all other contexts — locate an Act of Congress entitling the plaintiff to that relief. That principle is consistent with *Bowen*, which held that relief was available under the APA only because the relief "enforce[d] [a] statutory mandate * * * which happen[ed] to be one for the payment of money."

Petition at 18-19.

However, on this record, that argument has been waived. The government *conceded* that the APA's waiver of immunity could extend to claims arising "through operation of law as we have in the suretyship cases." *Transcript, supra* note 10, at 14. The government also acknowledged that Blue Fox's equitable claim to the unpaid funds could not be defeated by the government paying out the funds after receiving notice from Blue Fox. See pp. 22-23, *infra*. The Ninth Circuit could properly conclude, therefore, that the funding sources available to pay a surety whose equitable subrogation claim was wrongfully disregarded would also be available to pay respondent's claim. *See* majority opinion at 12a, *citing Transamerica Premier Ins. Co. v. United States*, 32 Fed. Cl. 308, 314 (1994).

13. The issue in *Hubbard* was whether the plaintiff, whom EPA had wrongfully failed to hire, was entitled to receive back pay along with instatement as part of an equitable remedy. Relying on this Court's decision in *Bowen*, and on other cases that have categorized back pay as equitable relief, a split panel of the D.C. Circuit concluded that back pay fell within the waiver of immunity for "relief other than money damages" in Section 702. The *en banc* court found that Hubbard could not receive back pay because Congress had not expressed an unequivocal intent to waive sovereign immunity for such relief.

job, . . ." 982 F.2d at 533. The court noted the result may well have been different had the plaintiff performed work for which he was not paid:

> We do not suggest that back pay must always be viewed as money damages and can never be properly categorized as specific relief. *If Hubbard had been hired by the EPA and worked for the agency for a year without being paid, his legal claim might well be viewed differently. In that case, the money that Hubbard had a right to receive in exchange for his labor might well be the very thing that was taken from him.*

982 F.2d at 533, n.4 (emphasis supplied).[14]

By contrast, Blue Fox *earned* its money, by performing work for which it was never paid. Unlike Hubbard's request for unearned money, Blue Fox's quest was for "the very thing to which it was entitled." 982 F.2d at 533, n.4. Thus, no factual parallel exists between *Hubbard* and *Blue Fox*.

The two cases are also legally distinguishable. Petitioner's principal objection relates to a supposed conflict in "analysis" between the decision below and *Hubbard*.[15] However, this

14. In like manner, the focus of Judge Randolph's concurring opinion (in which then Circuit Judge R.B. Ginsburg joined) was that Hubbard lost *the opportunity* to earn wages (as opposed to the wages themselves). The concurring opinion's first sentence summarized its rationale: "If Hubbard prevails, the Government will have to pay him money to make up for *wages he never earned*." (emphasis supplied).

15. Petitioner states that *Hubbard* "reject[ed] analysis indistinguishable from that employed by the Ninth Circuit below . . .", Petition at 14, and that "[t]he Ninth Circuit's reasoning is, by contrast, indistinguishable from that adopted by the dissenting opinion in *Hubbard*." Petition at 16, n.6. See also Petition at 11 ("Broadly construed, the Ninth Circuit's decision allows the APA to be used to justify monetary recovery against the Government for tort-type or contract-type injuries whenever the requested remedy can be labeled 'equitable.' ")

argument, which posits an equitable lien to be a compensatory device lurking behind an equitable label, misapprehends the nature of the remedy. An equitable lien is imposed on existing contract funds, and is limited to the amount of money, if any, held by the owner. See p. 7, n.6, *supra*. Inasmuch as compensation from separate funds is not involved, no "money damages" are being sought. *Hubbard* is not to the contrary. The recurring theme of both the majority and concurring opinions in *Hubbard* was that the plaintiff never performed any work, and to award him money was to compensate him for his losses in being denied the job. In that sense, an "equitable" label was being attached to a compensatory device. In contrast, by performing work, Blue Fox qualified under *Hubbard*'s test for defining the types of "specific relief" for which the APA waives immunity. 982 F.2d at 533, n.4.[16]

3. The Ninth Circuit's Decision Does Not Conflict With the Third Circuit's Decision in Dia

In *Aetna Casualty & Surety Co. v. United States*, 71 F.3d 475 (2nd Cir. 1995), the government cited *Dia*, as it does to this Court, "for the proposition that a statutory duty to pay money is required if monetary relief is sought under the APA by means of an injunction against the agency." 71 F.3d at 479. As the Second Circuit stated:

> This misreads *Dia*. The court therein recognized that such monetary relief would be available regardless whether the duty to pay arose from statute or from

16. The absence of any important conflict becomes further apparent when one considers that the Second Circuit, in two decisions construing the APA, has adopted *both* of what Petitioner suggests are "conflicting" approaches. In *Ward v. Brown*, 22 F.3d 516 (2d Cir. 1994), the Second Circuit, citing *Hubbard*, held that "[b]ack pay, as a claim for damages, falls outside the scope of the APA." Shortly thereafter, the Second Circuit decided *Aetna Casualty & Surety Co. v. United States*, 71 F.3d 475 (2nd Cir. 1995), which held that a surety's claim for equitable subrogation does not present a claim for "money damages" under Section 702.

> regulation. What the court refused to do was to usurp the agency's power to make rules under the statute. Thus *Dia* contradicts the Government's position, as it reasoned that a statutory duty was not necessary to such a money award. We see no reason why the duty to pay money should not be equally enforceable under the APA regardless whether the duty arises by statute, regulation, or operation of law.

71 F.3d at 479.

Although the government has attempted to limit *Bowen* to claims asserting statutory rights, courts have been reluctant to accept this argument. Petitioner has thus failed to demonstrate that an important conflict exists such as would warrant this Court's attention. *Bowen*'s holding, which has yet to spawn significant conflicting interpretations, and which Congress has left alone, should not be disturbed. *See, e.g., Illinois Brick Co. v. Illinois*, 431 U.S. 720, 736 (1977) ("... we must bear in mind that considerations of *stare decisis* weigh heavily in the area of statutory construction, where Congress is free to change this Court's interpretation of its legislation.")

II.

THE CASE BELOW DOES NOT PRESENT AN APPROPRIATE VEHICLE FOR EXAMINING THE APPROPRIATIONS CLAUSE ISSUE.[17]

Petitioner argues that the Ninth Circuit's decision is inconsistent with this Court's decision in *Office of Personnel Management v. Richmond*, 496 U.S. 432 (1990). Petition at 18-19. *Richmond*

17. The Government failed to present the Appropriations Clause issue to the lower courts. Accordingly, it should not be considered. *See Delta Air Lines, Inc. v. August*, 450 U.S. 346, 362 (1981).

and its progeny stand for the proposition that federal courts may not force federal agencies to overreach their statutory authority in paying relief out of the public fisc. In *Richmond*, to award respondent the relief he requested would be to force the government, because of misstatements by a benefits eligibility counselor, to pay the respondent funds that Congress had specifically rendered unavailable to persons at his income level. Congress had amended the statute to deny eligibility to persons in Mr. Richmond's position. For the agency to pay Mr. Richmond would violate specific statutory instructions.

This case is fundamentally different from *Richmond*. The government has failed to identify a statute that prohibits the government from paying the relief that the court awarded to respondent. Because the agency is not being asked to act in conflict with any specific statute, the Appropriations Clause issue is not presented.

There should be no adverse fiscal consequences to the United States from the decision below. To prevent similar claims, all the government need do is comply with the Miller Act bond requirements. If they do, there will never again be a similar claim. Thus, there are not substantial adverse consequences to the United States from this decision. To the extent claims do arise, the government can obtain the money to pay unpaid subcontractors from the same sources used when the government is held to pay twice when it disregards the subrogation rights of sureties, or fails to pay the proper party when acting as stakeholder.[18]

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18. *See Transamerica Premier Ins. Co. v. United States*, 32 Fed. Cl. 308, 314 (1994); *Newark Ins. Co. v. United States*, 169 F. Supp. 955 (Ct. Cl. 1959); *Home Indemnity Co. v. United States*, 376 F.2d 890 (Ct. Cl. 1967); *International Fidelity Ins. Co. v. United States*, 25 Cl. Ct. 469 (1992); *National Surety Corp. v. United States*, 319 F. Supp. 45 (N.D. Ala. 1970).

III.

THE CASE BELOW OTHERWISE PRESENTS AN INAPPROPRIATE VEHICLE FOR REVIEW.

A. The Decision Below Is Further Limited To The Rare Instance Where the Miller Act Bonding Scheme Has Failed.

The purpose of the Miller Act "is to protect those who would have materialmen's and workmen's liens under state law if they were not working on a structure exempt as a federal public work or building." Pet. App. 3a, *quoting United Bonding Ins. Co. v. Catalytic Constr. Co.*, 533 F.2d 469, 473 (9th Cir. 1976).

The government has conceded that a Miller Act bond should have been furnished, but was not in this case. Pet. App. 3a. Had a bond been furnished, Blue Fox would have been paid by the Miller Act surety, and this case would never have arisen. Indeed, it was only through misfeasance by government officials that this case ever arose. See Statement, pp. 2-3, *supra*. A case which, by definition, arises only when federal officials fail their duty under law, cannot be said to present a situation likely to recur. This Court should not expend its limited resources to resolve a question that arises only when the federal government fails to comply with federal law.

B. Review May Have the Inadvertent Effect of Disturbing Established Commercial Practices Based Upon This Court's Decision in *Pearlman*.

If this Court grants certiorari, an issue will be whether an equitable lien on these facts constitutes "money damages" or "specific relief." To answer that question, the parties and the Court may be called upon to closely examine the historical roots of the rights to the money claimed. *See Bowen*, 487 U.S. at 893-901;

Hubbard, 982 F.2d at 537-539. Particular attention will have to be paid to this Court's precedents in *Prairie State Bank v. United States*, 164 U.S. 227 (1896); *Henningsen v. United States Fidelity & Guaranty Company*, 208 U.S. 404 (1908); *United States v. Munsey Trust Co.*, 332 U.S. 234 (1947) and *Pearlman v. Reliance Insurance Co.*, 371 U.S. 132 (1962).

These cases form the basis for settled rules for resolving conflicting claims to construction contract balances. *See* Brady, *Bonds on Federal Government Construction Contracts: The Surety's View*, 46 N.Y.U. L. Rev. 262, 269-76 (1971); Bednar, et al., *Construction Contracting* (George Washington Univ. 1991), "Priorities to Retained Funds," at 1334-1351. If this Court were to determine that an equitable lien constitutes "money damages" under the APA, such a result could be interpreted as inconsistent with *Pearlman*'s premise that "laborers and materialman had a right to be paid out of the fund. . . ." 371 U.S. at 141. To the extent the *Pearlman* rule were undermined, settled rules which have become an accepted part of construction law for decades may be called into question. Such an inadvertent result could have adverse effects for the surety industry as well.[19] Moreover, if the *Pearlman* doctrine

19. As one commentator has noted:

> . . . the surety nevertheless must continue to have precedence to the contract funds upon the default of the contractor, not only as a matter of fundamental equity (it seems unassailable that one who pays on behalf of another *should* acquire the rights of those it pays) but also as a matter of fundamental economics. Contrary to widespread misunderstanding, "[t]he business of a construction contract surety is not one of ordinary insurance, for the risk is not actuarially linked to premiums, nor is there a pooling of risks." *National Shawmut Bank v. New Amsterdam Cas. Co.*, 411 F.2d 843, 845 (1st Cir. 1969). Construction contract suretyship is premised to a considerable extent on the surety's rights in the contract fund. Any loss or diminution of this security could have serious consequences for the surety industry.

Brady, *Bonds on Federal Government Construction Contracts: The Surety's View*, 46 N.Y.U. L. Rev. 262, 279 (1971) [emphasis in original]

were undermined, the effect could be increased cost to the taxpayers for all construction contracts.[20] *See also Payne v. Tennessee*, 501 U.S. 808, 828 (1990) ("Considerations in favor of *stare decisis* are at their acme in cases involving property and contract rights, where reliance interests are involved. . . .")[21]

C. The Issues Have Been Inadequately Preserved.

Finally, this case presents a poor vehicle for review because significant issues raised in the Petition were inadequately preserved, or else waived, in the courts below. As discussed above, the government preserved neither the Appropriations Clause issue, nor the issue regarding *Bowen*'s limitation to statutory rights. See pp. 9-11, *supra*.

Other concessions make this case a poor candidate for review. The government conceded to the Ninth Circuit that Blue Fox would have an equitable lien if a private party, rather than a government agency, had been involved.[22] As the Ninth Circuit wrote:

20. Because sureties on public contracts have subrogation rights in retained funds, which under *Pearlman*, *Henningsen* and *Prairie State Bank* take precedence over rights of competing lenders, sureties do not have to rely solely on premiums to make up their losses. *See* Brady, *Bonds on Federal Government Construction Contracts: The Surety's View*, 46 N.Y.U.L.Rev. 262, 269-76 (1971). Absent the protection afforded by *Pearlman*, sureties may be forced to raise premiums, which would be passed through in the form of higher overall bid prices on all public construction projects.

21. *See also* Franks and Evans, *A Defense of Established Landmarks: Claims of Construction Sureties to Contract Funds Under Chapter 11*, 25 Tort & Ins. L.J. 28 (1989).

22. The pertinent oral argument was as follows:

The Court:

> Let's suppose it were a private party in the position of the government.

(Cont'd)

(Cont'd)

Government Counsel:

I'm sorry. I didn't hear you.

The Court:

If it were a private party —

Government Counsel:

Yes.

The Court:

— in the position of the government, would the subcontractor have an equitable lien against the retainage?

Government Counsel:

Yes.

The Court:

All right.

Government Counsel:

I think the right case —

The Court:

So the only reason you say that the private party here wouldn't have an equitable lien against the government is sovereign immunity because they're seeking damages instead of an equitable lien?

Government Counsel:

Yes. That's our position.

Transcript, supra note 10, at 4-5.

(Cont'd)

> The Army has conceded that Blue Fox would have an equitable lien claim, *i.e.*, a non-damages claim, if a private party, rather than a government agency had contracted with Verdan. The fact that the Army is the defendant does not change the nature of the claim, but only requires analysis of the Army's immunity.

Pet. App. 8a.

By conceding the existence of an equitable lien under private circumstances, the government acknowledged that Blue Fox had equitable rights (whether or not enforceable) in the specific funds which were eventually paid to Verdan. If held to this concession, the Army should be precluded from arguing to this Court that the relief Blue Fox received is anything other than specific. Assuming that Blue Fox had rights in the specific monies which were paid to Verdan, it becomes difficult to characterize the relief as "damages" (*i.e.*, compensation for a loss suffered) as opposed to specific relief (*i.e.*, "the very thing to which he was entitled.") 487 U.S. at 895.

Additionally, the government conceded at oral argument that equitable rights cannot be defeated by paying out funds after receiving notice that the funds were encumbered.[23] Citing *City of*

(Cont'd)

See also:

The Court:

I thought that a private party would have an equitable lien against another private party.

Government Counsel:

Yes.

Transcript, supra note 10, at 13.

23. The pertinent oral argument was as follows:

(Cont'd)

Houston v. HUD, 24 F.3d 1421, 1424 (D.C. Cir. 1994), Petitioner states

> the D.C. Circuit held that once the *specific funds* sought by the plaintiff had been spent, obligated or otherwise exhausted, an award of money from any other source would constitute a prohibited award of money damages.

Petition at 17, n.8. Irrespective of its merits otherwise, however, this argument has been waived. *See also Aetna Casualty & Surety Co. v. United States*, 71 F.3d 475, 479 (2nd Cir. 1995)

(Cont'd)

The Court:

> Could — If they did have an equitable claim to the unpaid funds as of that time, can that be defeated by the government then paying that money out after notice and then saying well, there's no longer any money available?

Government Counsel:

> No. I think there that some of the cases we have cited to you, the government does run a risk if they ignore a demand, for example, of a surety. All of these cases that have been cited by the plaintiff involve sureties, —

The Court:

> Yes.

Government Counsel:

> — who paid. Once — Once they are on notice that a surety has, for example, paid the — the subcontractors, for example, once the government's on notice, then if the government goes ahead and pays contract funds to the defaulting general contractor, then they run the risk of paying twice.

Transcript, supra note 10, at 7-8.

("[I]f an agency has a legal obligation to pay money to a party, that duty does not disappear simply because the money was paid in error to the wrong person.")

Also, the government failed to preserve the argument, appearing at page 27, note 16 of the Petition, that relief is unavailable under Section 702 because another statute "impliedly forbids" such relief. That argument was neither presented to, nor passed on, by the courts below, and should not be considered by this Court. *See Delta Air Lines, Inc. v. August*, 450 U.S. 346, 362 (1981).

CONCLUSION

For the reasons given above, the Petition should be denied.

Respectfully submitted,

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APPENDIX

APPENDIX A — TRANSCRIPT OF ORAL ARGUMENT BY GOVERNMENT COUNSEL

(Omitted here but submitted separately as Lodging Appendix.)